RATING METHODOLOGY

12 September 2025

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Rating Methodology

Retail and Apparel

This rating methodology replaces the *Retail and Apparel* methodology published on 9 November 2023. We have made editorial changes throughout the methodology to enhance readability. These updates do not change our methodological approach.

Scope

This rating methodology applies to companies globally that are primarily engaged in the purchase of products from manufacturers or wholesalers and the sale of these products directly to consumers in stores or online. This methodology also applies to companies globally that primarily design, source or produce, and market apparel, footwear or fashion accessories, with many of these companies having meaningful, growing or planned direct-to-consumer sales.

The determination of a company's primary business is generally based on the preponderance of the company's business risks, which are usually proportionate to the company's revenue, earnings and cash flows.

Companies that we rate using this methodology vary significantly in their scale, business mix, strategic profile, geographic reach and industry focus. They include operators of grocery stores, department stores, drugstores, auto dealerships, home improvement stores, value stores, apparel, footwear and fashion accessory stores, big-box retailers and mass merchandisers. Companies that we rate using this methodology sell products under third-party brands, their own brands or licensed brands.

We rate companies that are primarily engaged in the design, manufacture and distribution to consumers through third parties of products that are not consumed or disposed of quickly and that can be used for several years, such as furniture, mattresses, appliances and musical instruments, using our methodology for consumer durables. We rate companies that are primarily engaged in the production and sale of consumer packaged goods that they source or manufacture for distribution to consumers through third parties using our methodology for consumer packaged goods. We rate companies that generate revenues solely through licensing, with no retail or apparel operations, using our methodology for business and consumer services companies.[1]

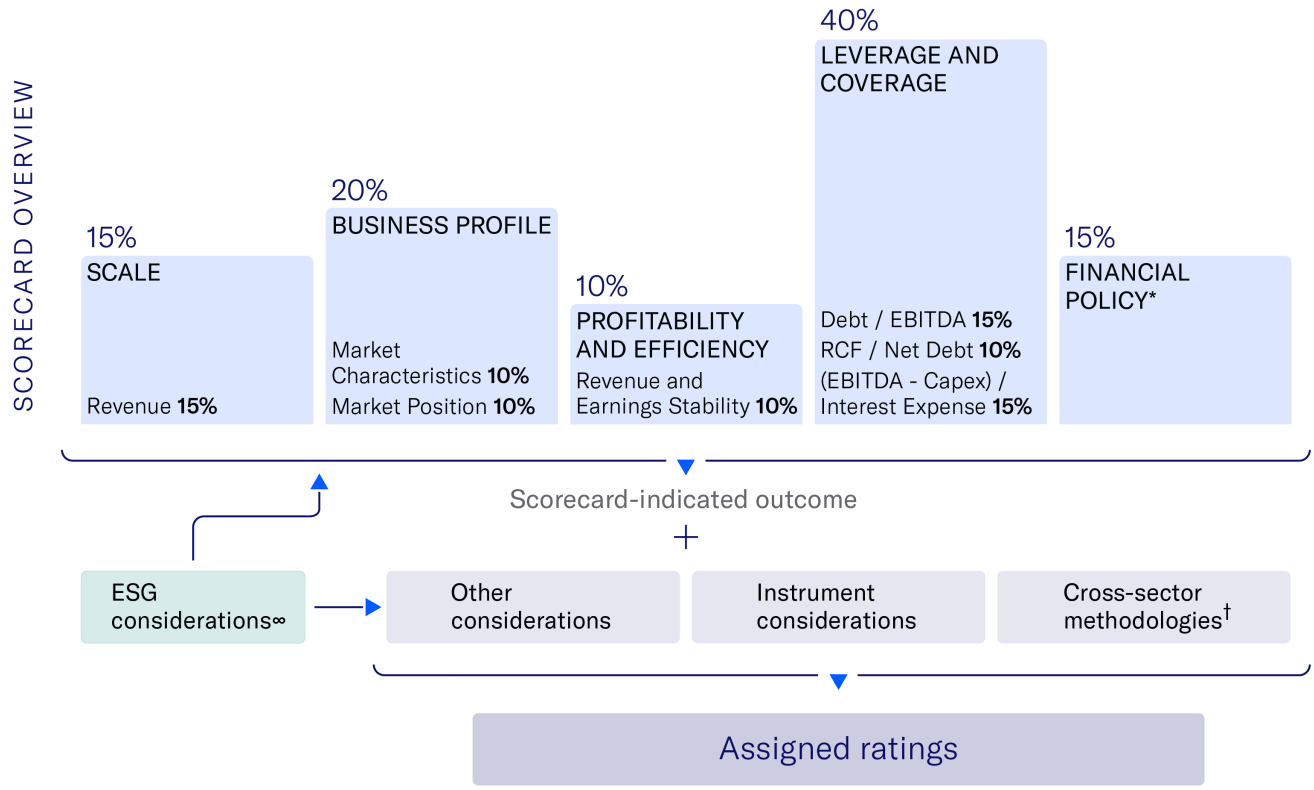
Rating approach

In this methodology, we explain our general approach to assessing credit risks of companies in this sector, including the quantitative and qualitative factors likely to affect rating outcomes.

The following exhibit illustrates our overall rating approach in the analysis of companies in this sector, which includes the use of a scorecard. The scorecard-indicated outcome may not

match a company's assigned rating, which is determined by a rating committee. For more information, see the "Other considerations" and "Limitations" sections.

Exhibit 1
Illustration of the retail and apparel rating approach



* This factor has no subfactors.
∞ Environmental, social and governance (ESG) considerations, including, where available, our opinions of exposure to them as expressed in Issuer Profile Scores (IPSs), may affect scorecard factors and other considerations outside of the scorecard. For more information, see the "Other considerations" section.
† Some of the methodological considerations described in one or more cross-sector methodologies may be relevant to ratings in this sector. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.
Source: Moody's Ratings

Scorecard

The scorecard in this methodology is a relatively simple reference tool that can be used in most cases to approximate credit profiles of companies in this sector and to explain, in summary form, many of the factors that are generally most important in assigning ratings. The scorecard may not include or address every consideration a rating committee may assess in assigning ratings to companies in this sector.

Exhibit 2

Retail and apparel scorecard

	Weight	Aaa	Aa	A	Baa	Ba	B	Caa	Ca
Factor: Scale (15%)									
Revenue (USD Billion)[1]	15%	≥ $100	$50 - $100	$25 - $50	$10 - $25	$4 - $10	$1.5 - $4	$0.5 - $1.5	< $0.5
Factor: Business Profile (20%)									
Market Characteristics	10%	Market segment faces essentially no competitive threats and extremely high barriers to entry. Essentially no risk of changing consumer preferences, including demographic and fashion trends. Demand is inelastic, with deferral of purchases extremely unlikely under any macroeconomic condition. The economic strength of the countries of operation also influences this sub-factor's score.	Market segment faces very low competitive threats and very high barriers to entry. Extremely low risk of changing consumer preferences, including demographic and fashion trends. Demand is inelastic, and deferral of purchases is highly unlikely under any macroeconomic condition. The economic strength of the countries of operation also influences this sub-factor's score.	Market segment faces low competitive threats and high barriers to entry. Very low risk of changing consumer preferences, including demographic and fashion trends. Demand is moderately inelastic, with deferral of purchases unlikely under any macroeconomic condition. The economic strength of the countries of operation also influences this sub-factor's score.	Market segment faces moderate competitive threats and some barriers to entry. Low risk of changing consumer preferences, including demographic or fashion trends. Demand exhibits some elasticity, with deferral of purchases under certain macroeconomic pressures possible. The economic strength of the countries of operation also influences this sub-factor's score.	Market segment faces competitive threats and moderate barriers to entry. Moderate risk of changing consumer preferences, including demographic or fashion trends. Clear signs of demand elasticity, with deferral of purchases due to macroeconomic pressures likely. The economic strength of the countries of operation also influences this sub-factor's score.	Market segment faces high competitive threats and low barriers to entry. Likely to have high exposure to changing consumer preferences, including demographic or fashion trends. Demand is elastic, with easily deferred purchases under even mild macroeconomic pressures. The economic strength of the countries of operation also influences this sub-factor's score.	Market segment faces very high or intensifying competitive threats and very low barriers to entry. Likely to have very high exposure to changing consumer preferences, including demographic or fashion trends. Highly elastic demand, with significantly deferred or eliminated purchases even under mild macroeconomic pressures. The economic strength of the countries of operation also influences this sub-factor's score.	Market segment faces extremely high competitive threats and very low barriers to entry. Very high exposure to volatile consumer preferences or fashion trends. Highly elastic demand, with elimination of purchases certain even under mild macroeconomic pressures. The economic strength of the countries of operation also influences this sub-factor's score.

	Weight	Aaa	Aa	A	Baa	Ba	B	Caa	Ca
Factor: Business Profile (20%)									
Market Position	10%	Established, dominant positions in multiple broad product categories with global geographic diversity. Growing market share, with no anticipated threats from any front. Exceptional and very highly differentiated consumer value proposition, including a best-in-class customer experience across channels. Flawless operational capabilities, including technology, store operations, labor management, and supply chain and sourcing practices. Excellent opportunities for sustained and highly profitable reinvestment. For apparel companies, at least three dominant global brands within very broad product categories that are synonymous with the category, with leading market presence and unwavering loyalty from customers.	Clear share leader in several broad product categories, with broad geographic diversity. Market position is stable or growing and easily defended against any type of threat. Strong and highly differentiated consumer value proposition, including a best-in-class customer experience across the channels relevant to consumers in this category. Industry-leading, world-class operational capabilities, including technology, store operations, labor management, and supply chain and sourcing practices. Clear opportunities for sustained, profitable reinvestment. For apparel companies, extremely strong global brands synonymous with the category and with leading market presence and very high customer loyalty.	One of a few leaders in several broad product categories and geographies. Market position is stable or growing, and easily defended against almost any type of threat. Compelling and clearly differentiated consumer value proposition, including an excellent customer experience across the channels relevant to consumers in this category. Very strong and leading operational capabilities, including technology, store operations, labor management, and supply chain and sourcing practices. Good opportunities for profitable reinvestment. For apparel companies, an extremely strong global brand with broad appeal across multiple product segments, high customer loyalty and no customer concentration.	Among the leaders in the broad product categories and geographies in which the company operates. Market position is stable or growing, and can be defended against most types of threats. Attractive and well-differentiated consumer value proposition, including a seamless customer experience across the channels relevant to consumers in this category. Strong operational capabilities that are above those of most peers, including technology, store operations, labor management, and supply chain and sourcing practices. Credible opportunities for profitable reinvestment. For apparel companies, a very strong global brand or several well-recognized regional brands with appeal across multiple product segments, good geographic diversification and low customer concentration.	A leader in the product categories and geographies in which the company operates. Market position can be defended against most types of threats; however some share erosion can occur. Differentiated consumer value proposition, including a good customer experience across the channels relevant to consumers in this category. Operational capabilities are at least in line with those of peers, including technology, store operations, labor management, and supply chain and sourcing practices. Profitable reinvestment opportunities and no catch-up or turnaround investment needs. May have modest geographic or vendor concentration. For apparel companies, a strong global brand, or several well-recognized regional brands with distinctive and sustainable appeal but within a moderately sized product category. Apparel companies also may have moderate channel, price range, geography or customer concentration.	Recognized competitor in the product categories and geographies in which the company operates. Generally stable market position, however some market share erosion is expected at times. Somewhat differentiated consumer value proposition, including a good customer experience across the channels relevant to consumers in this category. Operational capabilities are in line with those of peers, including technology, store operations, labor management, and supply chain and sourcing practices. No significant catch-up or turnaround investment is required to ensure long-term business sustainability. May have meaningful vendor or geographic concentration or operate in a narrow product category. For apparel companies, at least one strong brand in a niche category or in a commoditized category where price is the main driver; concentration in one broad channel or price range, or some geographic or customer concentration.	Credible competitor in the product categories and geographies in which the company operates. Market position is variable or declining. Operational capabilities lag those of peers, including a few areas among technology, store operations, labor management, and supply chain and sourcing practices. Investment or strategic change is needed to make the consumer value proposition and operations competitive. May have high vendor or geographic concentration or operate in a niche product category. For apparel companies, a brand with low market presence in a commoditized, narrowly defined category, or an untested brand with a short track record, significant concentration in one broad channel or price range, or high geographic or customer concentration.	Niche competitor in the product categories and geographies in which the company operates. Ongoing declines in market position in its product categories. Significant investment or strategic change is needed to make the consumer value proposition competitive and to bring operational capabilities in line with those of peers. May have high vendor or geographic concentration or operate in a product category that is recently emergent or in significant secular decline. For apparel companies, an undifferentiated offering or brand in a commoditized category, concentrated in one region on one continent, or very high concentration in or reliance on one customer.
Factor: Profitability and Efficiency (10%)									
Revenue and Earnings Stability	10%	Exceptional long-term track record of organic revenue and operating income growth, with low volatility. Financial performance, including operating margin or return on capital, always meets or exceeds the company's targets, is exceptional relative to its peer group and is highly predictable.	Strong long-term track record of organic revenue and operating income growth, with modest volatility. Financial performance, including operating margin or return on capital, meets or exceeds the company's targets, is strong relative to its peer group and is highly predictable.	Very good long-term track record of organic revenue growth and operating income growth, with moderate volatility. Financial performance, including operating margin or return on capital, meets or exceeds the company's targets, is very good relative to its peer group and is largely predictable.	Good track record of organic revenue and operating income growth except in periods of macroeconomic pressure. Financial performance, including operating margin or return on capital, typically meets the company's targets, is good relative to its peer group and is generally predictable.	A track record of organic revenue and operating income growth except in periods of macroeconomic pressure. Financial performance, including operating margin or return on capital, typically meets the company's targets and is at least on par with its peer group.	Revenue and operating income can be volatile, even without macroeconomic pressure. Financial performance, including operating margin or return on capital, may underperform the company's targets but is generally in line with its peer group.	Revenue and operating income are on a declining trend or are very volatile without macroeconomic pressure. Company has a trend of underperforming its financial targets or lagging its peer group.	Revenue or operating income are in a steep or consistent decline. Company has generally underperformed its financial targets or meaningfully lagged its peer group.

	Weight	Aaa	Aa	A	Baa	Ba	B	Caa	Ca
Factor: Leverage and Coverage (40%)									
Debt/EBITDA[2]	15%	≤ 0.5x	0.5x - 1x	1x - 2x	2x - 3x	3x - 4x	4x - 6x	6x - 8x	> 8x
RCF/Net Debt[3]	10%	≥ 80%	60% - 80%	40% - 60%	25% - 40%	15% - 25%	10% - 15%	5% - 10%	< 5%
(EBITDA-Capex)/Interest Expense[4]	15%	≥ 20x	16x - 20x	9x - 16x	4.5x - 9x	2.5x - 4.5x	1.25x - 2.5x	0.25x - 1.25x	< 0.25x
Factor: Financial Policy (15%)									
Financial Policy	15%	Expected to have extremely conservative financial policies (including risk and liquidity management); very stable metrics; essentially no event risk that would cause a rating transition; and public commitment to very strong credit profile over the long term	Expected to have very conservative financial policies (including risk and liquidity management); stable metrics; minimal event risk that would cause a rating transition; and public commitment to strong credit profile over the long term.	Expected to have predictable financial policies (including risk and liquidity management) that preserve creditor interests; although modest event risk exists, the effect on leverage is likely to be small and temporary; strong commitment to a solid credit profile.	Expected to have financial policies (including risk and liquidity management) that balance the interests of creditors and shareholders; some risk that debt-funded acquisitions or shareholder distributions could lead to a weaker credit profile.	Expected to have financial policies (including risk and liquidity management) that tend to favor shareholders over creditors; above-average financial risk resulting from shareholder distributions, acquisitions, or other significant capital structure changes.	Expected to have financial policies (including risk and liquidity management) that favor shareholders over creditors; high financial risk resulting from shareholder distributions, acquisitions, or other significant capital structure changes.	Expected to have financial policies (including risk and liquidity management) that create elevated risk of debt restructuring in varied economic environments.	Expected to have financial policies (including risk and liquidity management) that create elevated risk of debt restructuring even in healthy economic environments.

[1] For the linear scoring scale, the Aaa endpoint value is $150 billion. A value of $150 billion or better equates to a numeric score of 0.5. The Ca endpoint value is zero. A value of zero equates to a numeric score of 20.5.
[2] For the linear scoring scale, the Aaa endpoint value is 0x. A value of 0x equates to a numeric score of 0.5. The Ca endpoint value is 12x. A value of 12x or worse equates to a numeric score of 20.5, as does a negative Debt/EBITDA value.
[3] For the linear scoring scale, when net debt is positive, the Aaa endpoint value is 100%. A value of 100% or better equates to a numeric score of 0.5. The Ca endpoint value is 0%. A value of 0% or worse equates to a numeric score of 20.5. When net debt is negative and RCF is positive, the numeric score is 0.5. When net debt is negative and RCF is negative or zero, the numeric score is 20.5.
[4] For the linear scoring scale, the Aaa endpoint value is 25x. A value of 25x or better equates to a numeric score of 0.5. The Ca endpoint value is 0x. A value of 0x or worse equates to a numeric score of 20.5.
Source: Moody's Ratings

Discussion of the scorecard factors

In this section, we explain why each scorecard factor or subfactor is a meaningful credit indicator, and we discuss our analytical approach to scoring each factor or subfactor. When a factor comprises subfactors, we score at the subfactor level. Some factors do not have subfactors, in which case we score at the factor level.

In assessing quantitative subfactors, we use information that we calculate or estimate from a company's financial statements or regulatory filings, or that we derive from other observations. We may incorporate nonpublic information qualitatively in our assessment.

Our ratings are forward-looking and reflect our expectations for future financial and operating performance. However, historical results are helpful in understanding patterns and trends in a company's performance, as well as for peer comparisons. We typically calculate or estimate financial metrics, unless otherwise indicated, based on an annual or other 12-month period. However, we may assess the scorecard factors using various periods. For example, we may find it analytically useful to examine both historical and expected future performance for periods of several years or more.

All of the quantitative credit metrics in the scorecard incorporate our standard adjustments to income statement, cash flow statement and balance sheet amounts for items described in our cross-sector methodology on financial statement adjustments for nonfinancial corporations.[2] We may also make nonstandard adjustments that are specific to a particular company.

For a discussion of scorecard mechanics, see the "Scorecard-indicated outcome" section.

Factor: Scale (15% weight)

Why it matters

Scale is an important indicator of the overall strength of a company's business, the size of its market and the company's relevance within an industry and the economy. Scale is also an indicator of a company's importance to its customers and its bargaining strength with suppliers, as well as its ability to invest resources to maintain its competitive position and expand its marketing and geographic reach.

How we assess it for the scorecard

We score this factor based on one quantitative subfactor: Revenue.

Revenue

We use total reported revenue in billions of US dollars to measure scale, or to estimate it in the case of forward-looking expectations.

Factor: Business Profile (20% weight)

Why it matters

The business profile of a company is important because it greatly influences its ability to generate sustainable earnings and operating cash flow.

Core aspects of a retail and apparel company's business profile are its market characteristics and market position.

Strong market characteristics, such as high barriers to entry, low exposure to changing consumer preferences, or inelastic product demand reduce a company's vulnerability to profit erosion.

The sustainability and strength of a retail and apparel company's market position provide important indications of its ability to attract and keep customers. The company's geographic diversity, operating model, supply chain management, brand strength, consumer value proposition and labor management all have a large degree of influence on its market position.

Market Characteristics

Retail and apparel companies encounter different levels of demand volatility, elasticity and structural threats, depending on the subsector in which they operate. Companies that are less exposed to competitive threats, or sell products with inelastic demand characteristics and low exposure to changes in consumer preferences, typically have more stable operating performance. The barriers to entry and competitive threats in a particular market segment can provide insight into the risk of market share erosion.

Generally, barriers to entry are highest in very concentrated markets and in those where shifts in market share are limited. For example, pharmacies and convenience stores typically face lower competitive threats and higher barriers to entry than do retailers in other market segments. In contrast, home goods, department stores and apparel retailers in the US often face relatively high competitive threats and low barriers to entry, as these market segments are highly fragmented with significant online competition. Low demand elasticity contributes to stable earnings even amid challenging macroeconomic conditions, for instance for luxury goods retailers and some large grocery retailers. Also, exposure to changing consumer preferences can be a significant risk, for example for apparel companies, particularly those with elevated fashion risk (e.g., teen fashion) or concentration in one type of product (e.g., denim bottoms). In addition, companies can face varying degrees of risk stemming from the economic strength of their countries of operation.

Market Position

Retail and apparel companies with strong and sustainable market position typically have strong market share and brand strength in several product categories, as well as broad geographic diversification and excellent operational capabilities. Companies with the strongest market position typically have dominant brands in multiple broad product categories globally. Customer experience across relevant channels, such as in-store or online, is also a primary driver of market position. Retail and apparel companies can have strong market position in a subsector, even if that subsector has challenging characteristics such as demand volatility and structural threats. For example, some off-price retailers with a concentration in apparel and home goods, which are highly exposed to economic cycles and the continued migration to e-commerce, have demonstrated strong performance because of their solid market position, including execution strength, geographic diversity and very strong customer loyalty.

How we assess it for the scorecard

We score this factor based on two qualitative subfactors: Market Characteristics and Market Position.

We generally do not expect a given company to match each attribute listed for a given scoring category for each subfactor. We typically assign a subfactor score based on the alpha category for which a company has the greatest number of characteristics. However, there may be cases in which one characteristic is sufficiently important to a particular company's credit profile that it has a large influence on a subfactor score. For example, exposure to increasing competition from new entrants or a reliance on sales in one country or region is likely to limit the score for the rating category, because the business risk in these cases is typically high.

Market Characteristics

Our qualitative assessment is based on a variety of considerations, including competitive threats that companies in the sector are exposed to and barriers to entry for new entrants, which provide insight into the risk of market share erosion. We also consider the performance of the company's market segment through various economic scenarios, which indicates the necessity of its products. Historical experience and our expectations of the impact of varied macroeconomic conditions inform our views of demand elasticity. We also consider price competition, the availability of substitute products and the risk of changing consumer preferences in the market segment, in particular for apparel companies that may experience greater demand volatility because of rapid shifts in fashion trends.

Scoring for this subfactor also reflects our assessment of the economic strength of the country or countries where the company primarily operates, which typically sets a cap on the subfactor score.

Market Position

We score this subfactor based on our holistic view of a company's competitive position and the strength of its brands, products and customer experience. Considerations typically include the company's market share in its geographic locations and the trajectory of its market share based on historical trends and our view of the sector's competitive dynamics. Retail and apparel companies with dominant market positions globally typically receive a high score for this subfactor. To assess the strength of a company's brand, we consider customer awareness and how much they value the brand in the regions where it is primarily sold. We may review third-party data on brand awareness and market share as part of our analysis.

We consider the company's performance across channels, typically by reviewing the percentage of revenue from retail stores, its online distribution channels and other relevant channels, and the number and location of its retail stores. We also review the robustness of the company's operations, including merchandising, inventory and labor management, technology and sourcing practices, and we

typically consider opportunities for reinvestment, as well as the degree of vendor concentration. For apparel companies, those with multiple brands that are extremely strong globally and have superior customer loyalty typically receive a high score for this subfactor.

Factor: Profitability and Efficiency (10% weight)

Why it matters

A company's profitability matters because it supports the generation of sustainable cash flow and reflects the strength of the company's competitive position. Profitability also provides insights into a company's ability to manage key costs and pass them on to customers, which is an important indicator of the long-term viability of its business model. Strong profitability and operating efficiency can help a company to withstand economic and cyclical downturns that affect its competitive position and credit metrics.

How we assess it for the scorecard

We score this factor based on one qualitative subfactor: Revenue and Earnings Stability.[3]

Revenue and Earnings Stability

Our qualitative assessment considers the company's track record of organic revenue and operating income growth, and an assessment of the sustainability of revenue growth and margins. We consider historical revenue, margins and profitability, including volatility in recent years, comparison to peers and the company's track record of meeting or exceeding its targets. We also typically consider the composition and quality of profits. We also consider the drivers of revenue growth (i.e., from market or organic growth, or from acquisitions) and the risks inherent in those drivers.

Factor: Leverage and Coverage (40% weight)

Why it matters

Leverage and debt service coverage provide insight into the level of risk a company is willing to undertake. The degree of leverage is an important indicator of a company's financial flexibility, its ability to invest in growth opportunities and its capacity to pay debt service.

How we assess it for the scorecard

We score this factor based on three quantitative subfactors: Debt/EBITDA, RCF/Net Debt, and (EBITDA-Capex)/Interest Expense.[4]

Debt / EBITDA

We use the ratio of total debt to earnings before interest, taxes, depreciation and amortization (EBITDA).

RCF / Net Debt

We use the ratio of retained cash flow (RCF) to net debt.

(EBITDA-Capex) / Interest Expense

We use the ratio of earnings before interest, taxes, depreciation and amortization (EBITDA) minus capital expenditures (capex) to interest expense.

Factor: Financial Policy (15% weight)

Why it matters

Financial policy is an important rating determinant because it directly affects a company's debt levels, its strategic direction, the risk of adverse changes in financing and capital structure, and its overall credit quality. Financial policy encompasses the tolerance of management and the board for financial risk and their level of commitment to maintaining a strong credit profile.

Financial risk tolerance serves as a guidepost for investment and capital allocation. Liquidity management is an important aspect of financial policy and can provide insight into risk tolerance. Liquidity management is distinct from the level of liquidity, which we discuss in the "Other considerations" section.

Many companies in this sector have historically used acquisitions to spur revenue growth, expand business lines, consolidate market positions, advance cost synergies or seek access to new technology.

How we assess it for the scorecard

We assess qualitatively a company's targeted credit profile or desired capital structure, and its ability to achieve its targets. We also consider a company's complexity and transparency, its track record of risk and liquidity management, and its public commitments and history of adhering to its commitments in these areas. We also consider management's operating performance and use of cash flow through different phases of economic and industry cycles, as well as how management responds to key events, such as changes in the credit markets and liquidity environment, legal actions, competitive challenges and regulatory pressures.

When considering event risks in the context of scoring financial policy, we assess the likelihood and potential effect of M&A or other types of balance-sheet-transforming events. We assess management's appetite for M&A activity, with a focus on the type of transactions (i.e., core competency or new business) and funding decisions. We also evaluate the frequency and materiality of acquisitions and previous financing choices. A history of debt-financed or credit-transforming acquisitions generally results in a lower score for this factor. We may also consider a company's willingness to sell itself and the negative repercussions that could result, such as through a leveraged buyout transaction.

We also consider a company's and its owners' past record of balancing shareholder returns and debtholders' interests. We are likely to take a negative view in scoring this factor when a company has a track record of favoring shareholder returns at the expense of debtholders.

Other considerations

Ratings may reflect other considerations that are not in the scorecard, usually because the credit importance of these considerations varies widely among companies in this sector or because they may be important only under certain circumstances or for a subset of companies. Such considerations can include financial controls and the quality of financial reporting; corporate legal structure; the quality and experience of management; assessments of corporate governance, as well as environmental and social considerations; exposure to uncertain licensing regimes; and possible government interference in some countries. Regulatory, litigation, liquidity, technology and reputational risk, as well as changes to consumer and business spending patterns, competitor strategies and macroeconomic trends can also be considerations that affect ratings.

The following are examples of other considerations that may be reflected in our ratings and may cause ratings to be different from scorecard-indicated outcomes.

Environmental, social and governance considerations

Where environmental, social and governance (ESG) issues are meaningful for credit profiles, we incorporate them into our ratings analysis in a variety of ways in the application of our sector-specific methodologies. As one part of our overall credit analysis, we consider how ESG considerations could affect the qualitative and quantitative factors and subfactors in the scorecard.

Even where ESG considerations do not affect the measures in the scorecard, or where they cannot be quantified, we incorporate them into our overall analysis of credit drivers that are meaningful to the rating. As a result, we may incorporate these ESG risks qualitatively outside of the scorecard. As part of our ratings analysis, we may establish Issuer Profile Scores (IPSs), which indicate our opinion of the extent to which a given company is exposed to E, S and G risks (incorporating ESG-specific mitigants) or benefits from its exposure to E, S or G. The IPSs are inputs to credit ratings. For more information, see our methodology that describes our general principles for assessing ESG risks.[5]

Environmental considerations, which include carbon transition, physical climate risk, water management, waste and pollution, and natural capital considerations, primarily influence the credit profiles of retail and apparel companies through their fiscal effects. Environmental considerations may be material to a company's credit strength primarily because of the costs of investing in reducing carbon emissions and in weather-related preparedness and recovery costs.

Social considerations, which include changes in demographics, buyer behavior, customer relations, human capital, health and safety, and responsible production, may affect the reputation and creditworthiness of retail and apparel companies. Demographic and societal changes can alter buyer behavior in numerous ways that affect gross revenue, profitability and margins, and can affect customer preferences and a company's consumer value proposition.

Governance considerations for retail and apparel companies include compliance and reporting, organizational structure, financial strategy and controls, management credibility, and board structure, policies and procedures. Certain aspects of governance are directly embedded in the Financial Policy scorecard factor and may influence a company's fiscal strength and susceptibility to event risk. The strength of a company's governance can also materially impact profitability, margins and leverage.

Unlike exposure to environmental and social considerations, which are somewhat tied to the sector's attributes, governance considerations are more company-specific in this sector. Strong governance mitigates susceptibility to event risk. It also may contribute to higher growth potential and greater fiscal strength. Negative governance considerations can include overly aggressive financial policies and concentrated ownership.

Liquidity

Liquidity is an important rating consideration for all companies, and extremely weak liquidity can heavily affect ratings in many cases. Our liquidity assessment can be particularly important where there are significant short-term demands on a company's liquidity, for example, in highly seasonal operating environments where working capital needs must be considered. We form an opinion on likely short-term liquidity requirements from the perspective of both sources and uses of cash. For more information, see our liquidity cross-sector methodology.[6]

Supplier payment terms

Suppliers' views on the creditworthiness of companies can affect the payment terms they offer, which can have a significant impact on retail and apparel companies' working capital and liquidity levels. Suppliers may offer underperforming companies less favorable payment terms, which can increase working capital requirements and reduce liquidity of these companies. In cases in which supply chain financing is used, the effects on working capital and liquidity may be amplified if a deterioration in the company's credit profile results in less favorable financing terms, a restriction in financing, or if suppliers lose access to credit risk insurance. We assess these risks qualitatively, which may include analysis of downside scenarios that incorporate the effects of reduced supplier payment terms or supplier financing on liquidity and financial metric forecasts.

Excess cash balances

Some companies in this sector may maintain cash balances (meaning liquid short-term investments, as well as cash) that far exceed their operating needs. This excess cash can be an important credit consideration.

The amount of cash required to run a business can vary materially based on the regions of operation and the specific subsectors in which a company operates. As a result, we typically assess cash on the balance sheet qualitatively, taking into account a company's track record and its financial and liquidity policies. Cash holdings may be a material mitigant in our scenario analyses of potential acquisitions, share buybacks or special dividends. We assess possible uses of cash, especially for companies that may be acquisitive or under pressure to return cash to shareholders. By contrast, some companies maintain large cash holdings for long periods in excess of their operating and liquidity needs solely because of conservative financial policies, which provides a stronger indication of an enduring approach that will benefit creditors. Large cash holdings provide some buffers against credit deterioration, and we typically consider cash balances in our analysis of near-term liquidity sources and uses. See the "Liquidity" section for more information.

In accordance with our view of how a company will use its cash, we may use total debt or net debt in our forward-looking view of credit metrics for the Leverage and Coverage factor. We may also cite rating thresholds based on these metrics.

Seasonality

Seasonality is an important driver of the timing of customer demand and can result in a concentration of revenue and earnings in a particular quarter, causing swings in companies' cash balances and working capital positions.

For retail and apparel companies, seasonality may cause significant fluctuations in working capital and gross or net debt levels throughout the year, which may result in certain fiscal year-end financial metrics not being fully representative of a company's financial strength. Apparel companies are particularly exposed to volatility in the sales cycle. For example, a company can earn a significant percentage of its annual revenue in the weeks before the start of the school year or the holiday season, which typically drives cash levels higher and net debt levels lower. This upward spike in cash is often preceded by a downward spike as the company invests in

working capital ahead of the back-to-school or holiday sales season. We consider seasonality in assessing a company's liquidity and leverage levels and we may incorporate peak debt levels, in addition to year-end debt levels, in our assessment.

In this sector, the significant effects of seasonality may limit excess cash for some companies because of periodic high working capital demands or working capital needs that the use of supply chain financing may sometimes understate. We generally consider cash needs to be at least equal to peak working capital cash outflows, and cash balances that fail to provide an adequate buffer for working capital needs can negatively affect credit quality. The use of financing arrangements such as supply chain financing can also negatively affect credit quality if they limit visibility into working capital needs. Where company disclosure is limited, our assessment of the impact of supply chain financing arrangements may be informed by comparisons with industry-average working capital metrics.

Regulatory considerations

Companies in this sector are subject to varying degrees of regulatory oversight. Effects of these regulations may entail limitations on operations, higher costs, and higher potential for technology disruptions and demand substitution. Regional differences in regulation, implementation or enforcement may advantage or disadvantage a particular company.

Our view of future regulatory requirements is important because it is the basis for our expectations of future financial metrics and of a company's ability to generate sufficient cash flow relative to its debt burden over the medium and longer term.

Financial controls

We rely on the accuracy of audited financial statements to assign and monitor ratings in this sector. The quality of financial statements may be influenced by internal controls, including the proper tone at the top, centralized operations, and consistency in accounting policies and procedures. Auditors' reports on the effectiveness of internal controls, auditors' comments in financial reports and unusual restatements of financial statements or delays in regulatory filings may indicate weaknesses in internal controls.

Management strategy

The quality of management is an important factor supporting a company's credit strength. Assessing the execution of business plans over time can be helpful in assessing management's business strategies, policies and philosophies, and in evaluating management performance relative to that of competitors and our projections. Management's track record of adhering to stated plans, commitments and guidelines provides insight into management's likely future performance, including in stressed situations.

Additional metrics

The metrics included in the scorecard are those that are generally most important in assigning ratings to companies in this sector; however, we may use additional metrics to inform our analysis of specific companies. These additional metrics may be important in our forward-looking view of metrics in the scorecard or in other rating considerations.

For example, we may consider inventory days on hand and payable days. If inventory levels rise significantly above typical levels, that may indicate a potential need to liquidate inventory at discounted prices, which generally depresses margins. Shrinking payable days may indicate that suppliers are pressuring the retail or apparel company for faster repayment, a negative for the company's liquidity position.

As another example, ratios with earnings before interest and taxes (EBIT) and earnings before interest, taxes and amortization (EBITA) can sometimes provide additional analytical insights. As a measure of profitability, the ratio of EBIT to revenue (EBIT margin) can provide an indicator of operating efficiency and competitive advantage that can be useful for comparability across market segments. Also, the ratio of EBITA to interest expense (EBITA/interest) may provide further insight. This is particularly the case in situations where a company engages in growth capex for a short period, and therefore a view of its post-investment period coverage is useful. We may consider these metrics qualitatively and in scenario analysis, by assessing whether the scorecard metrics look stronger or weaker than the additional metrics outside of the scorecard and, if so, why they diverge.

Non-wholly owned subsidiaries

Some companies in this sector choose to dilute their equity stake in certain material subsidiaries, such as through an initial public offering or a sale to a private investor, which may, in some cases, negatively affect future financial flexibility. While such transactions may improve cash holdings on a one-off basis, selling minority interests in subsidiaries may have a negative effect on cash flow available to the parent company that consolidated financial statements may not fully reflect. For example, in the case of an equity

stake reduction in a subsidiary down to 75%, in the parent's financial statements, the subsidiary's revenue and EBITDA would typically still be consolidated at the group level.

The presence of minority stakes can increase structural subordination and reduce the parent's share of dividend flows from a non-wholly owned subsidiary. While less frequent, the sale of a minority stake may have provisions that further limit the parent's financial flexibility, for instance restrictions on cash pooling with other members of the corporate family, limitations on dividends and distributions, or arms-length business requirements. Minority stakeholders may have seats on the board of the subsidiary.

In many cases, we consider the impact of non-wholly owned subsidiaries qualitatively. For example, we may find that an additional view of financial results, such as analyzing cash flow on a proportional consolidation basis, may be useful to inform our analysis. When equity dilution or structural subordination from non-wholly owned subsidiaries is material and negative, the credit impact is captured in our ratings.

For companies that hold material minority interest stakes (investor companies), consolidated funds from operations typically includes the dividends received from the equity-accounted entity, while none of its debt is consolidated. The investor company's cash flow may be subject to interruption if it is required for the equity-accounted entity's debt service, capital expenditures or other cash needs. The debt of the equity-accounted entity is structurally senior to the investor company's debt. When an equity-accounted entity has a material level of debt, we may estimate one or more of the investor company's financial metrics using proportional consolidation or another approach to inform our analysis of consolidated financials and capture the credit impact of these considerations in our ratings.

Event risk

We also recognize the possibility that an unexpected event could cause a sudden and sharp decline in a company's fundamental creditworthiness, which may cause the assigned rating to be lower than the scorecard-indicated outcome. Event risks — which vary and can range from leveraged recapitalizations to sudden regulatory changes or liabilities from an accident — can overwhelm even a stable, well-capitalized company. Other types of event risks may include M&A, asset sales, spinoffs, shareholder distributions, litigation, natural disasters, pandemics, significant cybercrime events and geopolitical conflicts.

Parental support

Ownership can provide ratings lift for a particular company if it is owned by a highly rated owner or owners who view it to be of strategic importance. In our analysis of parental support, we consider whether the parent has the financial capacity and strategic incentives to provide support to the company in times of stress or financial need (e.g., a major capital investment or advantaged operating agreement), or if it has done so in the past. Conversely, if the parent puts a high dividend burden on the company, which in turn reduces its flexibility, the ratings will reflect this risk. For more information, see our cross-sector methodology on assessing the impact of financial support from a parent, subsidiary or affiliate in the absence of a guarantee.[7]

Government-related issuers may receive ratings uplift from expected government support. However, for certain companies, government ownership can have a negative effect on the underlying Baseline Credit Assessment (BCA). For example, price controls, onerous taxation and high distributions can have a negative effect on a company's underlying credit profile. For more information on the BCA, see *Rating Symbols and Definitions* and our cross-sector methodology for government-related issuers.[8]

Other institutional support

In some countries, large companies have received government or banking support in the event of financial difficulties because of their overall importance to the functioning of the economy. We consider whether group and banking relationships may provide support when systemically important companies encounter significant financial stress.

As a notable example, some of our corporate ratings in Japan incorporate the government or banking support we expect to be provided, based on historical experience, to large and systemically important companies. Over the years, this support has resulted in lower levels of default for Japanese companies than might otherwise have occurred.

Scorecard-indicated outcome

We arrive at a scorecard-indicated outcome by first mapping the outcome for each factor or subfactor to a numeric score, and then by producing an aggregate numeric score and the equivalent alphanumeric outcome.

Mapping scorecard factors to a numeric score

We map the outcome of each factor or subfactor in the scorecard to a broad Moody's rating category and to a corresponding numeric score. We score qualitative factors and subfactors based on the description by broad rating category in the scorecard. The following exhibit shows the numeric score that corresponds to each broad rating category.

Exhibit 3

Numeric scores for qualitative factors and subfactors

Aaa	Aa	A	Baa	Ba	B	Caa	Ca
1	3	6	9	12	15	18	20

Source: Moody's Ratings

We score quantitative factors and subfactors on a linear continuum. For each metric, the scorecard shows the range by broad rating category. We use the scale in the following exhibit and linear interpolation to convert the metric, based on its placement within the scorecard range, into a numeric score, which may be a fraction. As an illustrative example, if the Baa range for the ratio of revenue to interest is 50x to 100x, the numeric score for a company with a ratio of 99x – relatively strong within this range – would be closer to 7.5, while the numeric score for a company with a ratio of 51x – relatively weak within this range – would be closer to 10.5. In the scorecard footnotes, we define the endpoints of the line (i.e., the metric values that equate to the highest possible numeric score and the lowest possible numeric score).

Exhibit 4

Ranges of numeric scores for quantitative factors and subfactors

Aaa	Aa	A	Baa	Ba	B	Caa	Ca
0.5 - 1.5	1.5 - 4.5	4.5 - 7.5	7.5 - 10.5	10.5 - 13.5	13.5 - 16.5	16.5 - 19.5	19.5 - 20.5

Source: Moody's Ratings

Determining the overall scorecard-indicated outcome

We multiply the numeric score for each subfactor (or each factor, when the factor has no subfactors) by the weight of that subfactor (or factor) and sum the results to produce an aggregate numeric score. We map the aggregate numeric score back to a scorecard-indicated outcome using the ranges in the following exhibit.

Exhibit 5
Scorecard-indicated outcome

Aggregate numeric score	Scorecard-indicated outcome
x ≤ 1.5	Aaa
1.5 < x ≤ 2.5	Aa1
2.5 < x ≤ 3.5	Aa2
3.5 < x ≤ 4.5	Aa3
4.5 < x ≤ 5.5	A1
5.5 < x ≤ 6.5	A2
6.5 < x ≤ 7.5	A3
7.5 < x ≤ 8.5	Baa1
8.5 < x ≤ 9.5	Baa2
9.5 < x ≤ 10.5	Baa3
10.5 < x ≤ 11.5	Ba1
11.5 < x ≤ 12.5	Ba2
12.5 < x ≤ 13.5	Ba3
13.5 < x ≤ 14.5	B1
14.5 < x ≤ 15.5	B2
15.5 < x ≤ 16.5	B3
16.5 < x ≤ 17.5	Caa1
17.5 < x ≤ 18.5	Caa2
18.5 < x ≤ 19.5	Caa3
19.5 < x ≤ 20.5	Ca
x > 20.5	C

Source: Moody's Ratings

For example, a company with an aggregate numeric score of 11.7 would have a Ba2 scorecard-indicated outcome.

In general, the scorecard-indicated outcome is oriented to the senior unsecured rating for investment-grade companies and the corporate family rating (CFR) for speculative-grade companies. For companies that benefit from rating uplift from parental support, government ownership or other institutional support, we consider the underlying credit strength or BCA for comparison to the scorecard-indicated outcome. For more information on the BCA, see *Rating Symbols and Definitions* and our cross-sector methodology for government-related issuers..[9]

Assigning issuer-level and instrument-level ratings

After considering the scorecard-indicated outcome, other considerations and relevant cross-sector methodologies, we typically assign a senior unsecured rating for investment-grade companies and a CFR for speculative-grade companies. For government-related issuers, we assign a BCA.

We may notch individual debt instrument ratings upward or downward from the senior unsecured rating or the CFR to reflect our assessment of differences in expected loss related to an instrument's seniority level and collateral. For more information, see our cross-sector methodologies on loss given default for speculative-grade nonfinancial companies, notching corporate instrument ratings based on differences in security and priority of claim, and assigning short-term ratings.[10]

Key rating assumptions

For information about key rating assumptions that apply to methodologies generally, see *Rating Symbols and Definitions*.[11]

Limitations

In the preceding sections, we have discussed the scorecard factors and other considerations that may be important in assigning ratings. In this section, we discuss limitations that pertain to the scorecard and to the overall methodology.

Limitations of the scorecard

There are various reasons why scorecard-indicated outcomes may not map closely to assigned ratings.

For example, the scorecard may not fully capture credit loss and recovery considerations, which typically become more important as a company gets closer to default. The scorecard is also limited by its upper and lower bounds, causing scorecard-indicated outcomes to be less likely to align with ratings for companies at the upper and lower ends of the rating scale.

The weights of each scorecard factor and subfactor approximate their importance for rating decisions across the sector, but the importance of a particular factor may vary substantially based on an individual company's circumstances.

Factors outside the scorecard, including those discussed in the "Other considerations" section, may be important for ratings, and their relative importance may also vary from company to company. In addition, certain broad methodological considerations described in one or more cross-sector methodologies may be relevant to ratings in this sector.[12] These considerations include how sovereign credit quality affects nonsovereign issuers, the assessment of credit support from other entities, the relative ranking of different classes of debt and hybrid securities, and the assignment of short-term ratings.

We may use the scorecard over various historical or forward-looking periods. Furthermore, in our ratings we often incorporate directional views of risks and mitigants in a qualitative way.

General limitations of the methodology

This methodology does not include an exhaustive description of all the factors we may consider in assigning ratings in this sector. Companies in this sector may face new risks or new combinations of risks, and they may develop new strategies to mitigate risk. We seek to incorporate all material credit considerations in our ratings and to take the most forward-looking perspective that visibility into these risks and mitigants permits.

Ratings reflect our expectations for a company's future performance; however, as the forward horizon lengthens, uncertainty increases and the utility of precise estimates, as scorecard inputs or in other considerations, typically diminishes. Our forward-looking opinions are based on assumptions that may prove, in hindsight, to have been incorrect. Reasons for this could include unanticipated changes in any of the following: the macroeconomic environment, general financial market conditions, industry competition, disruptive technology, or regulatory and legal actions. In any case, predicting the future is subject to substantial uncertainty.

Moody's related publications

Credit ratings are primarily determined through the application of sector methodologies. Certain broad methodological considerations (described in one or more cross-sector methodologies) may also be relevant to the determination of credit ratings of issuers and instruments. A list of sector and cross-sector methodologies can be found here.

Data summarizing the historical robustness and predictive power of credit ratings can be found here.

For more information, see *Rating Symbols and Definitions*, which is available here.

Endnotes

1 A link to a list of our sector and cross-sector rating methodologies can be found in the "Moody's related publications" section.

2 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

3 For definitions of our most common metrics, see our cross-sector methodology that describes our financial statement adjustments for nonfinancial corporations. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

4 For definitions of our most common metrics, see our cross-sector methodology that describes our financial statement adjustments for nonfinancial corporations. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

5 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

6 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

7 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

8 Links to *Rating Symbols and Definitions* and to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

9 Links to *Rating Symbols and Definitions* and to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

10 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

11 A link to *Rating Symbols and Definitions* can be found in the "Moody's related publications" section.

12 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

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REPORT NUMBER 1450282

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